

From Hormuz to East Asia: Where China's Next Crisis Is Most Likely

China's energy exposure, the Philippines signal and the 31-90-day window

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Geopolitical & Maritime Risk

Moderate Confidence

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BOTTOM LINE

- [VERIFIED]** The Strait of Hormuz has been closed or severely restricted since 28 February 2026 and NERA I's corridor layer reads -92.7% against baseline at the cutoff; PortWatch shows five and then zero transits on 27–28 September. China has absorbed the shock through demand compression, inventory draws and Russian barrels: seaborne crude imports were 7.14 mb/d in August, 37.4 % below the pre-war baseline, with Iranian crude down to a provisional 534 kb/d. Brent is at \$104–107. The transmission to China is macro-financial and diplomatic, not an outage.
- [NERAI]** The neighbour with which China is most likely to enter a geopolitical crisis over the coming year is the Philippines. Both parties' military-clash series sit at their 18-month maxima simultaneously (Philippines 100th percentile, China 99th), the CN-PH flashpoint dyad is rising while the US-CN dyad falls, and the 18 September ramming off Palawan matches the signal. The most plausible form is a limited coast-guard or maritime-militia incident with casualties, followed by Philippine invocation of alliance consultations.
- [INFERENCE]** Hormuz is an amplifier, not a driver. China's South China Sea behaviour intensified through the crisis rather than easing, and the escalation began in August 2025, before the closure. What Hormuz changed is US naval attention and Beijing's economic bandwidth. The Taiwan Strait is the highest-consequence theatre but the lowest-signal one; the Korean Peninsula is the fastest-rising military signal, with China as a constraint rather than a party; India is screened out.

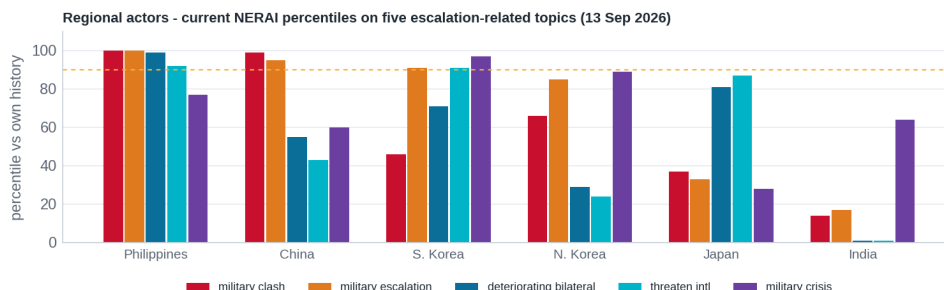
Why the Philippines ranks first — and what the ranking is not

The judgement rests on two related NERA I series for each party sitting at their maxima at the same time, on a flashpoint dyad score rising from 10.8 to 14.9, and on verified incidents on 23 July and 18 September 2026 that match the signal. No NERA I model predicts a defined bilateral crisis event; the platform's calibrated shock probabilities describe jumps in news-derived risk series. The Philippines 4-week shock probability of 0.341 sits against a 0.324 base rate — the model does not see unusual jump risk on top of an already-elevated level. The level itself is the warning.

THE SCORE, AND WHAT IT IS

HORMUZ TRANSIT VS BASELINE	CHINA SEABORNE CRUDE · AUG 2026	PHILIPPINES MILITARY-CLASH SIGNAL
-92.7%	7.14 mb/d	100th pctl
SEVERE; 4.4 transits/day vs 59.8 baseline (14 Sep)	-37.4% vs Dec 2025–Feb 2026 baseline	18-month high; China 99th; CN-PH dyad 14.9 (+13)

Corridor figures are NERA I platform data measured against corridor-specific trailing baselines; percentiles rank each country-topic series against its own 18-month history and are not cross-country military-power scores. The crude figure is verified open-source reporting of customs and tracking data. The only NERA I prediction with a published validation record is the shock model: out-of-sample expected calibration error 1.1 % on 118,300 cases.



Current NERAI percentiles (30-day mean vs own 18-month history) on five escalation-related topics for six regional actors, 13 September 2026. Taiwan and Vietnam are assessed from the corridor, flashpoint and open-source layers.

HOW HORMUZ REACHES CHINA

[VERIFIED] Before the crisis 45–50 % of China's crude imports and about 30 % of its LNG transited the strait. Since March Beijing has run a managed shortage: reserves of 1.39 bn barrels (120 days of net imports) drawn down, refinery runs trimmed, distillate exports lifted to 963 kb/d, Russian seaborne crude up to 1.68 mb/d plus pipeline. Iranian tankers kept conducting ship-to-ship transfers off Zhuhai and Hong Kong on 17 and 22 September; roughly 30 Chinese vessels received Iran-coordinated passage in May, and the Iran-approved corridor gives Beijing a privileged but politically costly channel. **[NERAI]** The market layer shows Brent +17.5 % over 30 days, gold +7.5 % and the yuan flat; China's "international support" series is at the 96th percentile while "increasing bilateral relations" collapsed from 95 to 14.

[INFERENCE] Energy stress has not weakened China's hand: critical-mineral export controls are priced by the Forecast Desk at 80 % to expand by September 2027, and Hormuz has made China an indispensable but distrusted broker between Tehran and Washington.

WHY THE PHILIPPINES, AND WHY NOT THE OTHERS

[VERIFIED] The pattern since the 11 August 2025 Scarborough collision — a PLAN warship striking a Chinese Coast Guard cutter while pursuing a Philippine vessel — has been continuous: Wang Yi's 22 July warning of "bitter consequences", expulsions at Scarborough the next day, and the 18 September ramming of the fisheries vessel *Magat Salamat* 54 nm off Palawan. No Chinese-Philippine incident in 2026 has produced a fatality. **[NERAI]** The HMM regime for both countries is Tension with a next-step escalation probability of 0.17–0.20; neither is in Crisis. **[INFERENCE]** The 21 September purge of Zhang Youxia and Liu Zhenli reduces PLA joint-operations capacity and makes crisis management more rigid; the 24 September Trump–Xi summit, with advanced military crisis-communication plans and an extended trade truce, is the strongest restraining factor. Taiwan shows declining aerial pressure (125 ADIZ incursions in August, under half of 2024–25) and routine daily activity; Japan is already in a class-1 coercion crisis whose military series are falling; South Korea's military-crisis series jumped from the 1st to the 97th percentile after the 21 September DMZ mine injury and the 22 September rocket test, but China is an external stabiliser there, not a party.

The real risk is the incident tempo, not a decision in Beijing

Neither side needs to choose a confrontation for one to emerge. The dangerous sequence is: monsoon-season resupply to Second Thomas Shoal or Scarborough → water cannon or ramming against a crewed deck → a Philippine casualty → Manila invokes Mutual Defense Treaty consultations and requests US escort → Beijing blames Manila, surges the CCG and maritime militia and applies trade pressure. Every step in that chain has a verified 2025–26 precedent except the casualty; the series say the frequency and intensity of the episodes that precede it are at an 18-month maximum for both parties at once.

SCENARIOS TO SEPTEMBER 2027

SCENARIO A

55%

Managed tension. Class-2 incidents continue; Taiwan pressure stays below 2024–25 levels; the Korean incident cycle runs without Chinese involvement; Hormuz remains severe and keeps Beijing's bandwidth constrained. The single most likely outcome.

SCENARIO B

25%

Limited China-Philippines crisis (class 3). A ramming or water-cannon incident produces casualties; Manila invokes MDT consultations; US destroyers deploy as in August 2025; Beijing applies trade pressure. Most defensible window 1 November–30 December 2026, extending to six months.

SCENARIO C 10%	Taiwan coercive exercise becomes the dominant crisis. Joint Sword-type exercise after the November local elections or a US arms decision; coast-guard "law enforcement" patrols; Taiwan Strait transit deviation below –10 %. Conditional on the purge-reduced PLA regaining joint capacity.
SCENARIO D 7%	Serious South China Sea escalation (class 4-5). Scenario B is not contained within 14 days; a Chinese quarantine of a Philippine-held feature or an exchange of fire; MDT Article III consultations; corridor transit worse than –25 % for seven days. Nuclear-power caution on both sides is the brake.
SCENARIO E 3%	A Korean or other surprise draws China in. A casualty-producing DMZ incident or a US-ROK alliance shock converts the peninsula from a Chinese-bandwidth constraint into a China-involved crisis. Low frequency, high consequence.

Structured analyst estimates conditioned on the situation as of 1 October 2026; they sum to 100 %. The full report states these ordinarily; no NERAI model produces a probability for a defined bilateral crisis event, and the numbers here are the Desk's judgement, not model output.

WHAT ACTUALLY HAPPENED

28 February - 4 March 2026

Hormuz closes

[VERIFIED] US and Israeli strikes on Iran; Iran closes the strait to "unfriendly" shipping. A US aerial campaign follows from 19 March and a naval blockade of Iranian ports from 12–15 April. NERAI's corridor index has read SEVERE on every snapshot since.

14–18 June 2026

A memorandum, a brief reopening, a breakdown

[VERIFIED] A US–Iran memorandum lifts the blockade on 18 June and transits briefly reach about 20 a day — one-third of the 59.8-a-day baseline — before the interim agreement breaks down. 981 transits have been recorded since 18 June; 86 incidents and 24 seafarer deaths by late September.

22–23 July 2026

"Bitter consequences" at Scarborough

[VERIFIED] Wang Yi warns Manila of "bitter consequences"; Chinese forces expel Philippine vessels from Scarborough Shoal the following day. **[NERAI]** The Philippines military-escalation series begins the climb that reaches its 18-month high on 14 September.

18 September 2026

Ramming off Palawan

[VERIFIED] A China Coast Guard vessel rams the Philippine fisheries vessel *Magat Salamat* 54 nm off Palawan, within 10 minutes of interception according to the Philippine Coast Guard; Beijing's spokesperson blames Manila. **[INFERENCE]** Without NERAI's series this reads as routine grey-zone friction; with them it is a class-2 incident at the top of an 18-month tempo curve.

21–24 September 2026

The purge and the summit

[VERIFIED] Zhang Youxia and Liu Zhenli, investigated since January, are expelled from the Central Military Commission on 21 September. Three days later the Trump–Xi summit in Washington produces military crisis-communication plans, an extended trade truce and rare-earth arrangements. **[INFERENCE]** One raises rigidity risk, the other lowers escalation risk; both effects are real and neither is proven.

28-29 September 2026

Washington rejects the seven-day proposal; tankers struck

[VERIFIED] Trump rejects Iran's seven-day reopening proposal on 28 September while Qatar continues mediation; two tankers are struck by projectiles on 29 September; PortWatch records five and then zero transits. **[NERAI]** The Forecast Desk prices a formal US-Iran ceasefire by 31 March 2027 at 3 %, down 28 points since July.

WHAT WOULD CHANGE THIS

- A verified casualty incident between Chinese and Philippine state vessels confirms Scenario B early; a second ramming within 30 days, Chinese water cannon on a crewed deck, or a US-Philippine joint-resupply announcement moves the ladder towards Scenario D.
- The Philippines and China military-clash series falling below the 70th percentile for two weeks, or resumption of the bilateral consultative mechanism, returns the assessment to Scenario A with lower confidence in the actor ranking.
- A Taiwan Strait transit deviation below -10 %, or a named PLA joint exercise around the November votes, re-ranks Taiwan above the Philippines.
- A US-Iran interim arrangement that lifts Hormuz above -50 % for ten consecutive days removes the amplifier and reopens US naval bandwidth for the Western Pacific; on the downside, Chinese seaborne crude imports back above 9 mb/d would mark the inventory-rebuild phase and ease Beijing's constraint.
- If Indonesia's military-clash signal (96th percentile) is matched by a verified Natuna incident, Indonesia enters the priority set.

METHOD AND LIMITS

Claims are labelled: **[VERIFIED]** rests on an official publication or named-outlet reporting carrying its date; **[NERAI]** is proprietary platform output — country-topic indices rank each series against its own history and are not cross-country military-power scores, corridor readings compare current activity with corridor-specific trailing baselines, and shock probabilities are read against platform base rates (4-week 0.324, 9-week 0.566); **[INFERENCE]** is analyst judgement drawn from the two. Scenario estimates are structured analyst judgements, not model outputs; their derivation and the full data inventory, crisis-event definitions and early-warning watchlist are in the analyst edition (NERAI-SIR-2026-1001-CH, 12 pages). NERA data as of 13-15 September 2026 with live AIS and themes to 1 October; open-source cutoff 30 September 2026.

SOURCES

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6. Al Jazeera and Brookings, 24 Sep 2026 — Trump-Xi summit outcomes. Modern Diplomacy, 30 Sep 2026 — 21 Sep purge analysis. AEI China-Taiwan Update, 1 Sep 2026; Daily Caller, 14 Sep 2026 — ADIZ and vessel counts. AEI Korean Peninsula Update, 30 Sep 2026 — DMZ mine, rocket test, submarine bill.
7. NERA risk-intelligence platform — country indices and shock model (13 Sep 2026), maritime corridors (14 Sep), corridor forecast ledger (13 Sep), Forecast Desk (review 15 Sep), flashpoint monitor (15 Sep), live chokepoint AIS and themes (1 Oct 2026); calibration block OOS ECE 1.1 %, n = 118,300. This briefing is informational and is not financial, legal or investment advice.